# Motorola Solutions (MSI)

## Mission-Critical Compounder

**Analyst: Justin Wen**

*Mission-Critical Compounder. Two-way radios, video security, and 911 software for public safety with sticky government contracts. Record $15.6B backlog, non-GAAP op margin 32.9%, and a software mix shift that keeps pushing margins up [10-Q Q2 FY26]. Execution Keeps Improving. Q2 revenue beat by 4.4% with 13.3% growth, EPS beat by 14.4%, and the company raised FY2026 revenue and EPS guidance for the second time this year. Four consecutive EPS beats with an average 5.5% surprise [8-K guid]. Quality Priced for Perfection. At $463.15 [Mkt 17-Oct-26], the stock sits 19.4% above our $373.53 DCF base and the market prices an 11% revenue CAGR that matches or beats our bull case. Great business, full price. Our framework screens it as a **Hold** with a $369.80 blended target, 20% below the current price.*

| HOLD | $369.80 | -20% | $463.15 |
|---|---|---|---|
| INVESTMENT RATING | BLENDED TARGET | BLENDED UPSIDE | REFERENCE PRICE |

**Mission-Critical Compounder. Two-way radios, video security, and 911 software for public safety with sticky government contracts. Record $15.6B backlog, non-GAAP op margin 32.9%, and a software mix shift that keeps pushing margins up [10-Q Q2 FY26].**

## Executive summary

**Execution Keeps Improving.** Q2 revenue beat by 4.4% with 13.3% growth, EPS beat by 14.4%, and the company raised FY2026 revenue and EPS guidance for the second time this year. Four consecutive EPS beats with an average 5.5% surprise [8-K guid].

**Quality Priced for Perfection.** At $463.15 [Mkt 17-Oct-26], the stock sits 19.4% above our $373.53 DCF base and the market prices an 11% revenue CAGR that matches or beats our bull case. Great business, full price.

| $3.13B | 32.9% | $4.41 | $15.6B | $12.98B | $17.67 |
|---|---|---|---|---|---|
| REVENUE (Q2 2026) | NON-GAAP OP MARGIN (Q2 2026) | NON-GAAP EPS (Q2 2026) | BACKLOG | FY2026 REVENUE GUIDE | FY2026 NON-GAAP EPS GUIDE (MID) |

## The moat is structural

Record $15.6B backlog with strong order momentum across all three technologies

## Three scenarios make the valuation range explicit

The DCF values Motorola Solutions across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

| SCENARIO | WEIGHT | TARGET | UPSIDE |
|---|---|---|---|
| **Bear (Conservative)** | 25% | **$322.93** | -30% |
| **Base** | 50% | **$368.40** | -20% |
| **Bull** | 25% | **$419.45** | -9% |

**Bear ($322.93, -30%):** Growth disappoints and multiples compress; the $322.93 target marks the downside case.

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**Bull ($419.45, -9%):** Execution compounds and the multiple rerates; the $419.45 target marks the upside case.



## The probability-blended target implies -20% upside

### Blended target: $369.80 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -20% upside from the $463.15 reference price.

**$369.80**

BLENDED TARGET

## A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (fwd) 25.5x [Mkt 17-Oct-26] DCF Base $373.53 vs $463.15 = -19.4% [Mkt 17-Oct-26] EV/EBITDA 21.7x [Mkt 17-Oct-26] DCF says the stock is 19% overvalued on fundamentals and the reverse DCF implied CAGR of 11% sits at or above our bull case.

## Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

**Methodology note.** The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $369.80 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.



Record $15.6B backlog with strong order momentum across all three technologies [8-K guid]

Software and Services growing ~18.5% annualized, lifting margins structurally [8-K guid]

Silvus defense business scaling: $675M 2026 revenue target at ~20% growth [8-K guid]

OBBBA Act opens 4 years of federal border and national security funding [10-K FY25]

## What to monitor

**Oct 29, 2026.** Q3 2026 Earnings (Positive): 4 straight EPS beats, avg surprise 5.5%. Guide is +8% revenue, non-GAAP EPS $4.39-4.44.

**2026.** Silvus Revenue Ramp (Positive): $675M 2026 revenue target and ~20% growth pace into 2027. DoD demand is the engine.

**2026-2029.** OBBBA Federal Funding (Positive): 4-year border and national security funding creates a new federal demand channel.

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| $3.13B | 32.9% | $4.41 | $15.6B |
|---|---|---|---|
| REVENUE (Q2 2026) | NON-GAAP OP MARGIN (Q2 2026) | NON-GAAP EPS (Q2 2026) | BACKLOG |

### Financial summary

| YEAR | REVENUE | GROSS PROFIT | NET INCOME |
|---|---|---|---|
| 2025 | $11.7B | $6.0B | $2.2B |
| 2024 | $10.8B | $5.5B | $1.6B |
| 2023 | $10.0B | $5.0B | $1.7B |
| 2022 | $9.1B | $4.2B | $1.4B |





## Key risks

**Cost and Tariff Pressure.** Management flagged elevated direct material and memory costs plus tariff exposure. Q2 margin got a $60M one-time IEEPA refund benefit that will not repeat. [10-Q Q2 FY26]

**Government Funding Dependence.** A large share of revenue comes from government and public safety budgets. Funding delays, shutdowns, or budget cuts hit orders directly. [10-K FY25]

**Leverage and Fading Buyback.** Net debt/EBITDA of 2.12x after the Silvus acquisition, $9.6B of debt, and a buyback program that is 96% complete. Financial engineering capacity is fading. [Mkt 17-Oct-26]

**Insider Selling.** Insider disposals by the CEO, CFO, and CTO filed in early 2026. Not dispositive, but notable when the stock trades at a premium valuation. [Mkt 17-Oct-26]

## Investment view

A Q3 miss or demand softness on Oct 29 would puncture the premium and cut Trend and Valuation further. A sustained Silvus beat plus OBBBA order flow could push growth into the low teens, which would justify part of the multiple.

**Hold.** The $369.80 blended target implies -20% upside, balancing the $322.93 / $368.40 / $419.45 Bear / Base / Bull targets.





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## Upcoming catalysts

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